

Simplex Concrete Piles (India) Ltd. v. Union of India

Citation: 2010 SCC OnLine Del 821 | Court: Delhi High Court | Year: 2010

Coram: Single Bench, High Court of Delhi (Valmiki J. Mehta J.) | Subject: Contracts & Delhi HC | Provisions: Indian Contract Act Sec 23, 73 & S

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Contract clauses in government commercial agreements that completely exclude or bar the contractor’s right to claim damages for breach or delay caused by the employer violate Section 23 of the Contract Act and are void as against public policy.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Indian Contract Act Sec 23, 73 & Specific Relief Act. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€ Whether the impugned state actions or commercial conduct conformed to Indian Contract Act Sec 23, 73 & Specific Relief Act.
- â€ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

A party committing breach of contract cannot insulate itself from Section 73 damages by imposing an unconscionable exclusion clause. To extinguish the right to claim damages is contrary to the public policy of India.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€ Struck down no-damage-for-delay clauses in public works contracts.
- â€ Held that complete exclusion of statutory breach damages violates Section 23 ICA.
- â€ Protected infrastructure contractors against unilateral state contract terms.